Cambridge Assessment International Education

Cambridge O Level

CANDIDATE NAME									
CENTRE NUMBER						CANDIDATE NUMBER			

1815176139

BUSINESS STUDIES **7115/21**

Paper 2 Case Study **October/November 2021**

1 hour 30 minutes

You must answer on the question paper.

You will need: Insert (enclosed)

INSTRUCTIONS

- Answer **all** questions.
- Use a black or dark blue pen. You may use an HB pencil for any diagrams or graphs.
- Write your name, centre number and candidate number in the boxes at the top of the page.
- Write your answer to each question in the space provided.
- Do **not** use an erasable pen or correction fluid.
- Do **not** write on any bar codes.
- You may use a calculator.

INFORMATION

- The total mark for this paper is 80.
- The number of marks for each question or part question is shown in brackets [ ].
- The insert contains the case study.

This document has **12** pages. Any blank pages are indicated.

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[Turn over

1 **(a)** Explain **two** benefits and **two** drawbacks of specialisation within a manufacturing process.

Benefit 1: .....

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Benefit 2: .....

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Drawback 1: .....

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Drawback 2: .....

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..... [8]

(b) Consider the following **three** problems for SSM when entering markets in other countries. Which problem is likely to have the most effect on SSM? Justify your answer.

- Cultural differences
- Lack of knowledge
- Import restrictions

Cultural differences: .....

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Lack of knowledge: .....

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Import restrictions: .....

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Conclusion: .....

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2 **(a)** Explain **two** ways SSM can grow.

Way 1: .....

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Explanation: .....

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Way 2: .....

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Explanation: .....

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(b) Consider the advantages of using primary and secondary market research to gather information about the potential sales in the new market. Which is the best method for SSM to use? Justify your answer.

Advantages of primary market research: .....

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Advantages of secondary market research: .....

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Recommendation: .....

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3 **(a)** Explain **four** ways SSM could increase the motivation of its production workers.

Way 1 : .....

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Way 2: .....

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Way 3 : .....

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Way 4: .....

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(b) Consider how SSM could benefit from the following **three** economies of scale. Which economy of scale is likely to have the greatest effect on SSM? Justify your answer.

- Purchasing
- Financial
- Managerial

Purchasing: .....

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Financial: .....

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Managerial: .....

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Conclusion: .....

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4 **(a)** Explain **two** ways SSM's cash-flow problems could be overcome.

Way 1: .....

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Explanation: .....

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Way 2: .....

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Explanation: .....

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(b) Consider the effects on SSM of the following changes in country Y. Which effect is likely to have the greatest impact on SSM's profit? Justify your answer.

- Increase in employment
- Increase in inflation

Increase in employment: .....

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Increase in inflation: .....

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Conclusion: .....

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